SECURITIES AND EXCHANGE COMMISSION

17 CFR Part 240

[Release No. 34-102022; File No. S7-11-23]

RIN 3235-AN28

Daily Computation of Customer and Broker-Dealer Reserve Requirements under the Broker-Dealer Customer Protection Rule

AGENCY: Securities and Exchange Commission.

ACTION: Final rule.

SUMMARY: The Securities and Exchange Commission ("Commission") is adopting amendments to the broker-dealer customer protection rule to require certain broker-dealers to perform their reserve computations for accounts of customers and proprietary accounts of broker-dealers and make any required deposits into their reserve bank accounts daily rather than weekly. The Commission also is adopting amendments to the broker-dealer net capital rule and customer protection rule to permit certain broker-dealers that perform a daily reserve computation for accounts of customers to reduce aggregate debit items (i.e., customer-related receivables) by 2% rather than 3% as part of the computation. Finally, the Commission is adopting technical amendments to the Financial and Operational Combined Uniform Single Report ("FOCUS Report") to conform it to the amendments with respect to the lowering the debit reduction from 3% to 2%.

DATES: *Effective date*: [INSERT DATE 60 DAYS AFTER PUBLICATION IN THE FEDERAL REGISTER].

Compliance date: The compliance date is discussed in section III. of this release.

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SUPPLEMENTARY INFORMATION: The Commission is amending:

Commission Reference	CFR Citation (17 CFR)
Rule 15c3-1	17 CFR 240.15c3-1
Rule 15c3-3	17 CFR 240.15c3-3
Form X-17A-5 Part II	17 CFR 249.617

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I. INTRODUCTION

A. The Need For Daily Reserve Computations

Section 15(c)(3)(A) of the Securities Exchange Act of 1934 ("Exchange Act") provides, in pertinent part, that no broker-dealer shall make use of the mails or any means or instrumentality of interstate commerce to effect any transaction in, or to induce or attempt to induce the purchase or sale of, any security (with exceptions for certain securities) in contravention of such rules and regulations as the Commission shall prescribe as necessary or appropriate in the public interest or for the protection of investors to provide safeguards with respect to the financial responsibility and related practices of broker-dealers including, but not limited to, the acceptance of custody and use of customers' securities and the carrying and use of customers' deposits or credit balances.[1] The statute further provides, in pertinent part, that the rules and regulations shall require the maintenance of reserves with respect to customers' deposits or credit balances.[2]

Pursuant to this statutory directive, the Commission adopted the customer protection rule ("Rule 15c3-3") in 1972.[3] This rule requires broker-dealers that hold customer cash and securities ("carrying broker-dealers") to treat these assets in a manner that facilitates their prompt

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[1] 15 U.S.C. 78*o*(c)(3)(A). The amendments to section 15(c)(3) of the Exchange Act granting this rulemaking authority were adopted in section 7(d) of the Securities Investor Protection Act of 1970 ("SIPA"). Pub. L. 91-598, §7(d), Dec. 30, 1970, 84 Stat. 1563. Rule 15c3-3 was promulgated in the aftermath of the securities industry "paper work crisis" of 1967-1970. *See* Commission, *Study of Unsafe and Unsound Practices of Brokers and Dealers*, H.R. Doc. No. 231, 92d Cong., 1st Sess. 6 (1971) ("During the 1967-70 period of severe operational and financial problems, many firms, primarily because of inadequate and inefficient recordkeeping and segregation systems and procedures, and the infrequent counting of securities in their possession, mishandled and misused customers' funds and securities.… Firms used customers' free credit and other credit balances in their daily activities.") *Id.* at 43.

[2] 15 U.S.C. 78*o*(c)(3)(A).

[3] *See Broker-Dealers; Maintenance of Certain Basic Reserves*, Exchange Act Release No. 9856 (Nov. 17, 1972) [37 FR 25224 (Nov. 29, 1972)] ("Rule 15c3-3 Adopting Release").

return to the customers if the broker-dealer fails financially.[4] The goal of the rule is to place a carrying broker-dealer in a position where it is able to wind down in an orderly self-liquidation without the need of financial assistance provided by the Securities Investor Protection Corporation ("SIPC") through a formal proceeding under SIPA.[5]

In order to facilitate an orderly self-liquidation, Rule 15c3-3 requires a carrying broker-dealer to compute the net amount of cash owed to customers under a formula in the rule ("customer reserve computation").[6] Generally, carrying broker-dealers must perform their customer reserve computation and make any required deposits in a special reserve account at a bank ("customer reserve bank account") weekly.[7] This weekly cadence has been in effect since 1973.[8] The rule also addresses how a carrying broker-dealer must treat proprietary securities and cash it holds for other broker-dealers, known as proprietary accounts of broker-dealers ("PAB accounts").[9] While broker-dealers are not treated as customers under preexisting Rule 15c3-3,

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4 *See* section I.C.1. of this release (discussing Rule 15c3-3).

5 *See Financial Responsibility Rules for Broker-Dealers; Final Rule*, Exchange Act Release No. 70072 (July 30, 2013) [78 FR 51824, 51869 (Aug. 21, 2013)] ("Financial Responsibility Rules for Broker-Dealers"); *See also* section I.C.2. of this release (discussing broker-dealer liquidations and SIPA).

6 The net amount of cash owed to customers is generally the amount the total cash owed to customers (e.g., cash balances in securities accounts) (referred to as "credits") *exceeds* the total amount of cash customers owe the carrying broker-dealer (e.g., margin loans to customers) (referred to as "debits"). 17 CFR 240.15c3-3a ("Rule 15c3-3a").

7 Preexisting Rule 15c3-3 also permits carrying broker-dealers to perform the customer reserve computation more frequently than weekly (e.g., daily) and, in certain limited circumstances, monthly. *See* paragraph (e)(3) of Rule 15c3-3.

8 *See* Rule 15c3-3 Adopting Release, 37 FR at 25226. While Rule 15c3-3 was adopted in 1972, the effective date for the rule was January 15, 1973. *Id.*

9 The term PAB account means a proprietary securities account of a broker-dealer (which includes a foreign broker-dealer, or a foreign bank acting as a broker-dealer) other than a delivery-versus-payment account or a receipt-versus-payment account. The term does not include an account that has been subordinated to the claims of creditors of the carrying broker-dealer. *See* paragraph (a)(16) of Rule 15c3-3. For example, a broker-dealer that is not a carrying broker-dealer (e.g., a broker-dealer that introduces its customer accounts to a carrying broker-dealer ("introducing broker-dealer")) may hold its proprietary securities and cash at a carrying broker-dealer. In this case, the securities account of the introducing broker-dealer held at the

the rule requires a carrying broker-dealer to perform a PAB reserve computation and make any required deposits into its PAB reserve bank account weekly, similar to the requirements for the customer reserve computation and customer reserve bank account.[10]

Since the adoption of Rule 15c3-3 in 1972, investor—including retail investor—participation in the U.S. securities markets has grown dramatically, which has led to a correspondingly dramatic increase in the amount of cash carrying broker-dealers hold for customers.[11] Cash owed to customers and PAB account holders may include proceeds received from sales of securities, cash customers and PAB account holders deposit for the purpose of purchasing securities, and monthly or quarterly dividends received on behalf of customers and PAB account holders.[12] Carrying broker-dealers may receive large cash inflows on behalf of their customers and PAB account holders during the week (e.g., month-end or quarter-end interest and dividend payments) and days prior to the next required weekly reserve computations and deposits into the reserve bank accounts.[13] This can lead to situations where—for a period of

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carrying broker-dealer would be a PAB account and the introducing broker-dealer would be a PAB account holder of the carrying broker-dealer. *See Daily Computation of Customer and Broker-Dealer Reserve Requirements under the Broker-Dealer Customer Protection Rule*, Exchange Act Release No. 97877 (July 12, 2023) [88 FR 45836, 45837 (July 18, 2023)] ("Proposing Release").

[10] *See* section I.C.1. of this release (discussing Rule 15c3-3).

[11] Broker-dealers file monthly or quarterly financial and operational information using the FOCUS Report. Based on FOCUS Report data as of December 31, 2023, carrying broker-dealers, in aggregate, reported approximately $1.1 trillion in total customer and PAB credits. *See* section IV.B.2. of this release (discussing affected broker-dealers in the baseline). Of that amount, approximately $965 billion constituted total credits for customer accounts (the remaining balance was total credits for PAB accounts). Further, carrying broker-dealers reported approximately $319 billion in customer free credit balances. By comparison, free credit balances at year-end 1970 totaled $2 billion for all broker-dealers that were NYSE members and carried public customer accounts. *See* Study of Unsafe and Unsound Practices of Brokers and Dealers at 51. Free credit balances are generally liabilities of a broker-dealer to customers which are subject to immediate cash payment to customers on demand, whether resulting from sales of securities, dividends, interest, deposits or otherwise, subject to certain exclusions. *See* paragraph (a)(8) of Rule 15c3-3.

[12] *See* Proposing Release, 88 FR at 45842.

[13] *See id.*

days—the net amount of cash owed to customers and PAB account holders is greater than the amounts held in the carrying broker-dealer's combined customer and PAB reserve bank accounts.[14] This creates a "mismatch" or difference between the net cash owed to customers and PAB accounts holders and the amounts held in the carrying broker-dealer's combined customer and PAB reserve bank accounts. Moreover, because of the dramatic increase in cash held by carrying broker-dealers since 1972, the amount of the mismatch between cash owed and cash reserved can be much larger than the Commission contemplated when it adopted the requirement to perform a weekly reserve computation. The potential for much larger mismatches today (as compared to 1972) poses a risk that if the carrying broker-dealer fails financially it may not be able to promptly return all cash and securities owed to customers and PAB account holders in an orderly self-liquidation and, instead, will need to be liquidated in a SIPA proceeding.

The potential size of the mismatch risk impacting carrying broker-dealers today can be demonstrated through the size of the deposits they are required to make into their reserve bank accounts. For example, during the 2023 calendar year, the largest required additional deposits into the *customer reserve bank accounts* of all carrying broker-dealers ranged from approximately $2.3 billion to over $10 billion.[15] During the 2023 calendar year, the largest required additional deposits into their *PAB reserve bank accounts* ranged from approximately $345 million to almost $4.0 billion.[16] Furthermore, during the 2023 calendar year, the top ten

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[14] *See id.*

[15] This data is based on the 25 largest additional deposit requirements reported in the monthly FOCUS Reports filed during the 2023 calendar year.

[16] This data is based on the 25 largest additional deposit requirements reported in the monthly FOCUS Reports filed during the 2023 calendar year. The largest additional deposit requirements were made by carrying broker-dealers that also had the 25 largest credit balances based on 2023 FOCUS Report data. A total of nine carrying broker-dealers made the 25 largest additional deposit requirements into the customer

additional required deposits to the *customer reserve bank accounts* for the 20 carrying broker-dealers with the lowest average total credits (of the 49 carrying broker-dealers estimated to be subject to the final amendments),[17] ranged from approximately $74.3 million to over $600 million.[18] Moreover, the largest potential mismatches today occur at carrying broker-dealers that reported the greatest amount of total credits for their customers and PAB account holders (i.e., amounts that exceed the final $500 million threshold discussed below).[19] In 2023, in the aggregate, the average mismatch for customer reserve bank accounts was 15.7% for carrying broker-dealers above the $500 million threshold.[20] It was 6.4% for carrying broker-dealers below the threshold.[21]

These large deposit requirements and mismatch percentages indicate that there may be times when the net amount of cash owed to customers and PAB account holders is substantially

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reserve bank accounts. Six of the 25 largest additional deposits into the customer reserve bank accounts were made by three carrying broker-dealers that voluntarily perform a daily reserve computation. The mean of these additional deposit requirements was $4.2 billion, and the median was $3.6 billion. With respect to the largest deposits into the PAB reserve bank accounts, a total of six carrying broker-dealers made the 25 largest additional deposit requirements. Twenty-one of the 25 largest additional deposits into the PAB reserve bank accounts were made by four carrying broker-dealers that voluntarily perform a daily reserve computation. The mean of these additional deposit requirements was approximately $1.3 billion, and the median was approximately $1.1 billion. In addition to large deposit requirements, the customer and PAB reserve computations also permitted some carrying broker-dealers to make large withdrawals from both their customer and PAB reserve bank accounts during the 2023 calendar year. For example, during the 2023 calendar year, the 25 largest withdrawals from customer reserve bank accounts ranged from approximately $1.2 billion to $4.8 billion, and the 25 largest withdrawals from PAB reserve bank accounts ranged from $170 million to $2.6 billion.

17 *See* section IV.B.2. in this release (discussing scope of affected entities in the economic baseline).

18 This data is based on the largest additional deposit requirements reported in the monthly FOCUS Reports filed during the 2023 calendar year for carrying broker-dealers above the $500 million threshold.

19 *See* section II.A. of this release (describing the final $500 million threshold).

20 *See* section IV.B.2. of this release (discussing average mismatches). The aggregated average mismatch of 15.7% is calculated as an average of the average mismatches for all carrying broker-dealers that met the $500 million threshold. The same was done for carrying broker-dealers below the $500 million threshold.

21 *See* section IV.B.2. of this release (discussing average mismatches).

greater than the amounts on deposit in the customer and PAB reserve bank accounts.[22] Large mismatches may lead to correspondingly large shortfalls in the amounts available in the customer and PAB reserve bank accounts, which, in the event of a failure of a carrying broker-dealer, may result in the delayed reimbursement of customer securities and cash, and the potential that customers' claims may not be satisfied in full.[23] In the case of a large shortfall, the cash and securities owed to customers or PAB account holders may be tied up in liquidation proceedings and these customers or PAB account holders would have to wait to receive their cash and securities until the broker-dealer liquidation is carried out under SIPA, which may take a significant amount of time.[24] This potential delay in obtaining access to their securities and cash also could cause customers to rapidly withdraw cash from a carrying broker-dealer during times of market turmoil, putting further stress on the carrying broker-dealer and the securities markets more generally, as well as potentially triggering or accelerating the failure of a carrying broker-dealer.

Further, in a SIPA liquidation, SIPC may be required to advance money from the SIPC Fund[25] to the extent the fund of customer property was insufficient to make customers—but not to PAB account holders—whole through the *pro rata* distribution.[26] In particular, if the

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22 *See* Proposing Release, 88 FR at 45843.

23 *See id.* at 45842.

24 How quickly claims are satisfied in a SIPA liquidation depends on the complexity of the liquidation and the condition of the carrying broker-dealer's records. *See How The Claims Process Works*, available at https://www.sipc.org/cases-and-claims/how-the-claims-process-works; *see also* Proposing Release, 88 FR at 45848; section IV.A. of this release (discussing potential risks that an intra-week mismatch introduces); section IV.C. (discussing economic effects of the final amendments).

25 *See* section I.C.2. of this release (discussing the SIPC Fund).

26 *See* Proposing Release, 88 FR at 45842. The amount that can be advanced to each customer is capped at $500,000 (of which $250,000 can be used to cover cash claims). Broker-dealers with securities accounts at a failed broker-dealer—as SIPA customers—have the right to a *pro rata* share of customer property in a

mismatch or difference between the net amount a carrying broker-dealer owes its customers and PAB account holders and the combined amounts in the customer and PAB reserve accounts was sufficiently large, customers' claims may not be satisfied in full.[27] In this case, the trustee would need to use the SIPC Fund to satisfy customers' claims to make them whole. This risk may be exacerbated for carrying broker-dealers experiencing large aggregate intra-week mismatches.[28] As a result, the SIPC Fund may be at a higher risk of depletion.[29]

To address these risks, the Commission is amending Rule 15c3-3 to require carrying broker-dealers that owe large amounts of cash to customers and PAB account holders (i.e., have large total credits), measured by both their customer and PAB reserve computations for the previous 12 month ends (i.e., a rolling 12-month average), to perform those computations and make any required deposits into their respective reserve bank accounts daily rather than weekly.[30] The final amendments—by requiring daily rather than weekly reserve computations—will more quickly apply the protective measures of the Rule 15c3-3 reserve requirements to cash of customers and PAB account holders that is newly deposited into the carrying broker-dealer. This will reduce the risk—caused by the dramatic increase in cash carrying broker-dealers hold—that if the carrying broker-dealer fails financially, it may be unable to promptly return cash and securities to customers and PAB account holders through an orderly self-liquidation. It

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SIPA liquidation, but they are not entitled to advances from the SIPC Fund. *See* section I.C.2. of this release (providing an overview of broker-dealer liquidations and SIPA).

27 *See* Proposing Release, 88 FR at 45842.

28 *See* Proposing Release, 88 FR at 45848. *See also* section IV.A. of this release (discussing potential risks that an intra-week mismatch introduces).

29 *See* section IV.A. of this release (discussing potential risks that an intra-week mismatch introduces).

30 *See* section II.A. of this release (discussing the final $500 million threshold, which is a modification from the proposed $250 million threshold); *See also* Proposing Release, 88 FR at 45843-45 (discussing proposed $250 million threshold).